Project 1 - Edition A current checkpoint candidate

Alex Schwanke | AAPL common equity | Prepared October 16, 2026 with disclosed AI assistance. NOT YET SUBMITTED: no Brightspace receipt. Alex confirms on October16 that this checkpoint is on time and the professor permits AI-assisted preparation and submission now. This is student-reported permission; this document does not claim a pre-AI judgment or a prior successful receipt.

Decision and intended user

A buy-side committee with no existing holding deciding whether to initiate. Alex chooses INITIATE at September14,2026 close, USD, proposed3-5year horizon. Latest-published basic shares plus a TTM incremental dilution proxy yields14,649.596m diluted-proxy shares. Screening is not valuation evidence; later unavailable filings/market observations, unpriced future buybacks and unsupported control premiums are excluded. Same-day Siri publication before the close remains an evidence condition.

Current evidence and valuation judgment

The TTM base ends June27,2026, derived from FY2025 plus current9m less prior9m; revenue466,823m and reported EBIT154,859m. June balance-sheet proxies anchor five annual decision periods; no unreported September actuals are invented. A Products margin judgment reserve to38% normalizes EBIT150,954.1m. This is not a claim that a precisely measured tariff refund was removed.

Apple Intelligence/Siri may stimulate upgrades, premium mix and retention. Jess Tran challenged the original0.57% flat FCFF growth as low; the updated forecast derives FCFF from linked operating statements. A new capability does not prove incremental earnings. Current core DCF73-254 dollars/share versus333.08 close does not substantiate broad undervaluation. An extended high operating/duration regime286-350 requires strong margins, high incremental returns and unusually persistent growth. These are separate regimes, not values to average.

Alex explicitly accepts initiation at333.08 despite limited upside. Under his authorization the assistant proposes a5% valuation-upside hurdle: required value349.73. The350.48 extended high reference narrowly clears it. There is no extra margin of safety to core value and no claimed probability of achieving the high regime. The committee must confront the downside, not treat this as a mechanically justified Buy.

Assumptions and unknowns

Base iPhone growth10% fading6%, Services14% fading10%, Products margin38%, R&D10%, capex4%, tax18%, WACC9.72%, mature growth2.5% and incremental terminal ROIC30% are analyst-selected. The high case assumes iPhone18% fading10%, Services20% fading12%, Products41%, Services80%, R&D10%, capex4.5%, WACC8.5%, g3% and ROIC40%; the upper duration case adds15 fade years after year5. Duration dominates its interpretation.

Unknowns: incremental AI monetization, persistence of upgrade demand and retention, tariff/mix normalization, regulatory/search economics, future investment and terminal returns. Cash/debt/shares are dated published proxies; other current balances freeze in the model; D&A allocation is estimated. Qualify sparse peers and Alphabet's gain-contaminated P/E. Monitor adoption evidence and cash conversion; Alex's reversal condition is disappointing AI features. Numerical downside thresholds are proposals in Initiation-Defense.pdf.

Validation and provenance

Seventeen technical tests and a recorded isolated cold run pass. Tests include training known answers, source dates/hashes, base reconciliation, articulation, FCFF/bridge, boundary/direction, peers and terminal duration. An omitted separately reported20,342m intangible line caused a genuine failure and was explicitly corrected from the filing. AI-assisted changed-input work is separately labeled and cannot satisfy the human AI-off record. The personal prediction/precommit/run/diagnosis remain pending.

Codex assisted sources, code, calculations, tests and drafts. Alex supplies the investment stance, source/date election and actual partner recollections. This checkpoint candidate was created after AI-assisted modeling. Preserve all earlier report/draft files; do not overwrite them or present this candidate as an older baseline. The first actual successful Brightspace receipt will establish the baseline of record under the professor's reported permission. Edition B/evolution must then identify changes relative to that exact received file, including a truthful no-material-change statement when appropriate.

Sources: Apple June2026 10-Q https://www.sec.gov/Archives/edgar/data/320193/000032019326000020/aapl-20260627.htm ; Siri release https://www.apple.com/newsroom/2026/09/siri-ai-a-profoundly-more-capable-and-personal-assistant-is-here/ ; all dated market definitions and saved-source hashes in data/ and docs/sources-and-normalization.md. Source availability is bounded at September14,2026.